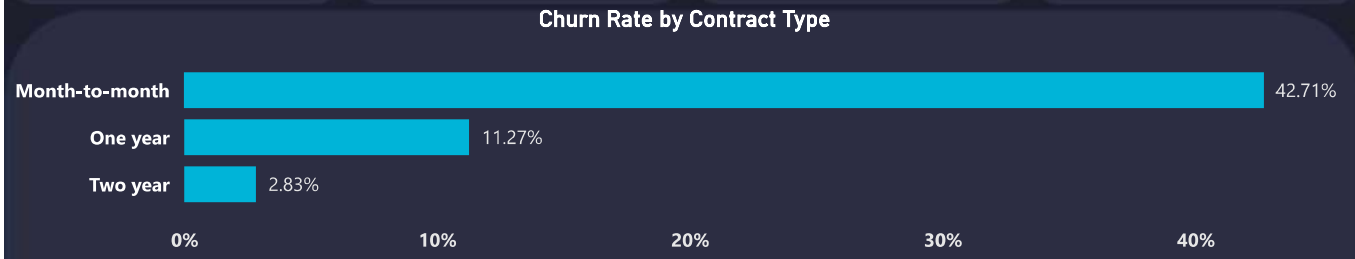
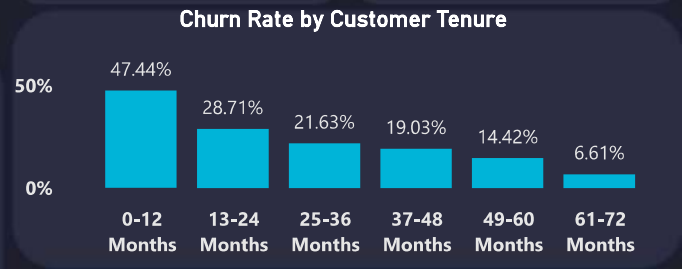
Customer Retention & Churn Analysis

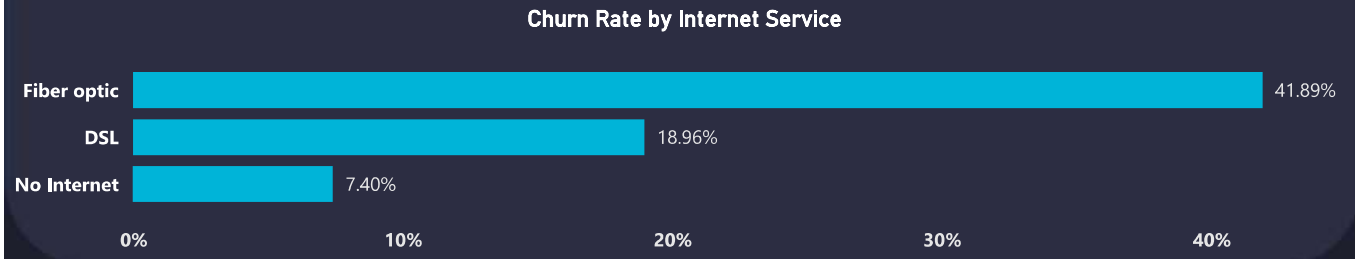
Churn Overview | Customer Profile Analysis

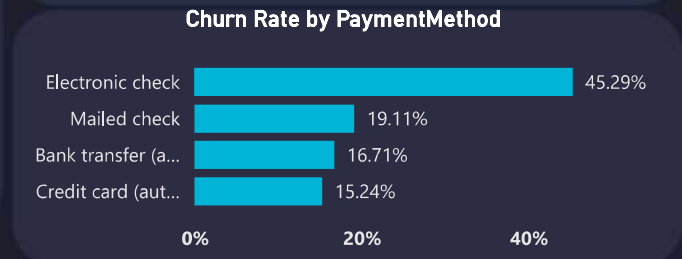
Telco Customer Churn | Future Interns Task 2 | Mohd Hussain

7043	1869	26.54%	73.46%	$139K	32
Total Customers	Churned Customers	Churn Rate	Retention Rate	Monthly Revenue Lost	Avg Tenure (Months)









Key Insights & Recommendations

1. Contract Type is the #1 Churn Driver: Month-to-month customers churn at 42.71% compared to just 2.83% for two-year contract holders. Recommendation: Offer discounts or incentives to move customers from monthly to annual contracts.

2. Critical Retention Window is First 12 Months: 47.44% of customers who churn do so within the first year. Recommendation: Implement an aggressive onboarding program with check-ins at 30, 60, and 90 days.

3. Electronic Check Users are High-Risk: 45.29% churn rate vs 15.24% for auto-pay credit card users. Recommendation: Incentivize customers to switch to automatic payment methods — offer one month free for switching.

4. Fiber Optic Paradox: Despite being the premium service, fiber optic customers churn at 41.89% — more than double DSL users. This suggests a pricing or service quality problem specific to fiber customers.

5. Revenue Impact is Critical: $139,130 in monthly recurring revenue is lost to churn. Annually that's $1.67M. Even a 5% reduction in churn rate saves $83,478 per year.

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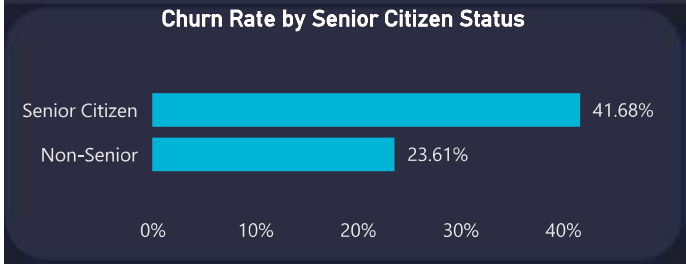

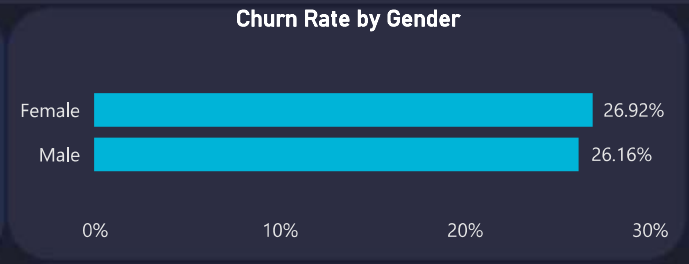

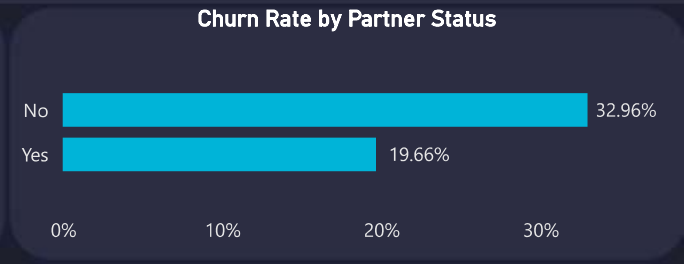

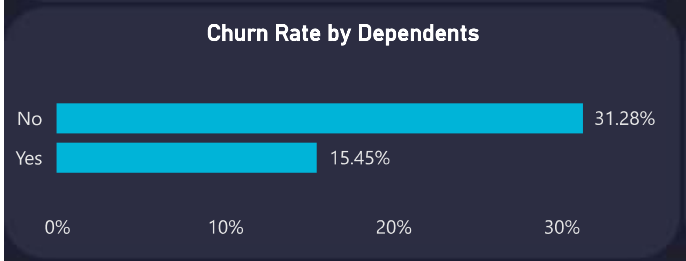

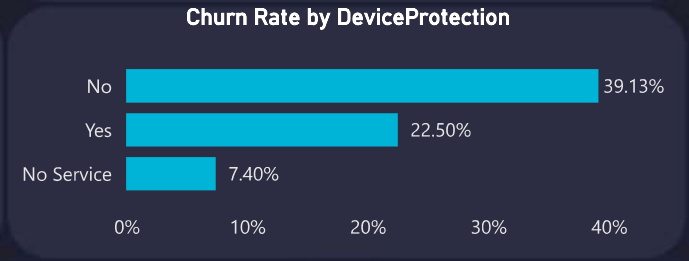

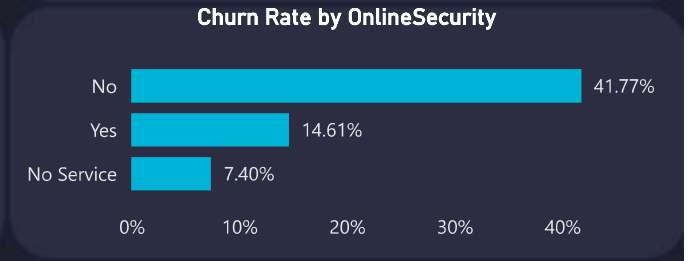

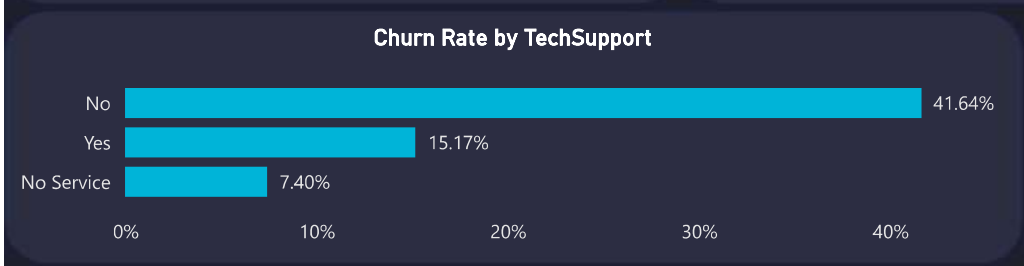

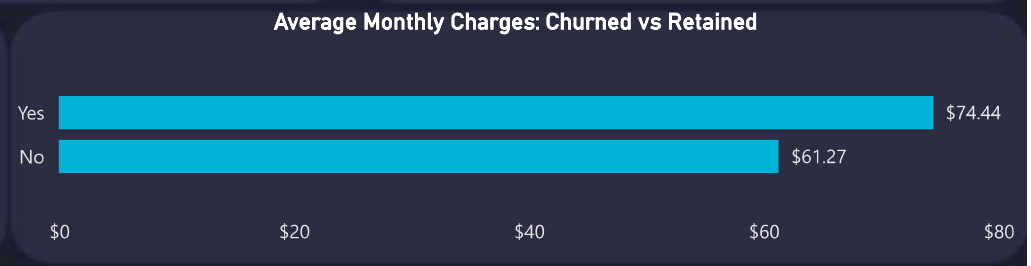

👥 Customer Profile Insights & Recommendations

1. Senior Citizens are High-Risk: Senior citizens churn at 41.68% vs 23.61% for non-seniors. They are nearly twice as likely to leave. Recommendation: Create a dedicated senior customer retention program with simplified billing and priority support.

2. Gender Has No Impact on Churn: Male (26.16%) and female (26.92%) customers churn at almost identical rates. This means gender-based marketing campaigns will not improve retention — focus resources elsewhere.

3. Customers Without Partners Churn More: Single customers churn at 33% vs 20% for customers with partners. Single customers likely have less financial commitment and switch more easily. Recommendation: Bundle family or shared plans to increase stickiness.

4. Security and Support Services Dramatically Reduce Churn: Customers without OnlineSecurity churn at 41.77% vs 14.61% with it. TechSupport shows a similar pattern. Recommendation: Upsell security and support services during onboarding — this is the single highest-impact retention lever available.

5. High Monthly Charges Drive Churn: Churned customers pay ~$74/month vs ~$61 for retained customers. High-paying customers feel they're not getting value. Recommendation: Review pricing tiers and offer loyalty discounts to customers above $70/month.